# T-12 OPERATING STATEMENT

Dover Storage Depot | Las Vegas, NV

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|---|---|
| **Property** | Dover Storage Depot |
| **Period Ending** | May 17, 2024 |
| **Basis** | Accrual - Trailing 12 Months |
| **Prepared By** | Orion Commercial Management |
| **Size** | 551 storage units |

## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4000 Gross Potential Rent | 70,215 | 66,387 | 63,664 | 62,881 | 66,887 | 70,688 | 68,037 | 64,151 | 64,953 | 64,793 | 62,229 | 66,233 | 791,119 |
| 4010 Loss to Lease | 51,349 | 48,010 | 49,059 | 48,127 | 51,366 | 48,059 | 51,977 | 51,468 | 49,942 | 45,421 | 49,435 | 46,831 | 591,045 |
| 4020 Vacancy Loss | 39,283 | 37,500 | 37,245 | 37,418 | 36,256 | 40,224 | 38,066 | 37,296 | 36,549 | 37,182 | 38,750 | 38,203 | 453,972 |
| 4030 Concessions | 20,576 | 20,455 | 20,360 | 19,159 | 19,816 | 19,322 | 19,406 | 19,113 | 19,932 | 19,937 | 19,676 | 19,251 | 237,004 |
| 4040 Bad Debt | 36,294 | 36,375 | 34,952 | 32,323 | 36,154 | 35,538 | 34,626 | 34,965 | 33,233 | 33,820 | 34,851 | 33,316 | 416,446 |
| 4050 Late Fees | 16,313 | 15,668 | 17,122 | 16,425 | 16,891 | 17,314 | 17,885 | 16,813 | 15,851 | 16,962 | 15,650 | 16,786 | 199,680 |
| 4060 Utility Reimbursements | 22,763 | 20,054 | 20,481 | 22,342 | 22,164 | 21,718 | 21,725 | 21,751 | 20,195 | 20,469 | 21,867 | 21,422 | 256,950 |
| 4070 Parking Income | 42,089 | 42,177 | 42,414 | 44,482 | 41,472 | 44,885 | 44,869 | 43,556 | 43,302 | 46,471 | 41,519 | 43,178 | 520,412 |
| 4080 Application Fees | 5,181 | 5,291 | 4,927 | 5,426 | 4,999 | 5,036 | 5,389 | 5,468 | 5,164 | 5,062 | 5,313 | 4,888 | 62,145 |
| 4090 Pet Rent | 4,885 | 4,996 | 5,203 | 5,161 | 4,743 | 5,271 | 5,155 | 5,324 | 5,072 | 4,806 | 4,831 | 5,299 | 60,745 |
| 4100 Laundry Income | 38,580 | 38,762 | 37,068 | 39,049 | 39,688 | 38,353 | 37,775 | 39,892 | 35,989 | 39,127 | 38,170 | 38,353 | 460,807 |
| 4110 Cable/Internet Revenue | 1,204 | 1,326 | 1,188 | 1,186 | 1,248 | 1,184 | 1,331 | 1,245 | 1,298 | 1,318 | 1,178 | 1,284 | 14,991 |
| 4120 CAM Reimbursements | 35,636 | 34,604 | 33,200 | 33,526 | 35,823 | 36,212 | 34,584 | 33,273 | 36,031 | 34,570 | 35,399 | 37,015 | 419,874 |
| 4130 Tax Reimbursements | 58,039 | 57,054 | 56,094 | 60,369 | 60,562 | 59,631 | 61,332 | 61,098 | 55,275 | 58,864 | 58,720 | 55,101 | 702,139 |
| 4140 Insurance Reimbursements | 12,191 | 12,997 | 12,052 | 12,190 | 12,161 | 12,523 | 13,242 | 12,972 | 13,013 | 11,549 | 12,266 | 13,185 | 150,340 |
| 4150 Percentage Rent | 24,444 | 23,502 | 22,256 | 22,012 | 22,939 | 21,759 | 23,251 | 22,401 | 24,263 | 21,585 | 22,572 | 21,413 | 272,398 |
| 4160 Misc. Income | 8,824 | 7,916 | 8,177 | 8,137 | 8,745 | 7,950 | 8,310 | 8,261 | 8,543 | 7,985 | 8,342 | 8,876 | 100,067 |
| 4170 Payroll - Management | 6,759 | 6,857 | 6,563 | 6,646 | 6,864 | 7,004 | 6,809 | 6,601 | 6,238 | 6,762 | 7,066 | 6,751 | 80,922 |
| 4180 Payroll - Leasing | 1,095 | 1,141 | 1,159 | 1,186 | 1,173 | 1,104 | 1,106 | 1,048 | 1,086 | 1,053 | 1,060 | 1,093 | 13,304 |
| 4190 Payroll - Maintenance | 3,897 | 3,968 | 3,704 | 4,156 | 3,672 | 4,048 | 3,727 | 3,959 | 4,131 | 3,767 | 3,747 | 3,675 | 46,452 |
| 4200 Payroll Taxes & Benefits | 7,099 | 6,988 | 6,872 | 6,792 | 6,543 | 7,134 | 6,670 | 7,311 | 7,212 | 6,419 | 7,140 | 6,400 | 82,581 |
| 4210 Repairs - Plumbing | 1,187 | 1,173 | 1,067 | 1,119 | 1,053 | 1,074 | 1,199 | 1,188 | 1,188 | 1,064 | 1,150 | 1,109 | 13,571 |
| 4220 Repairs - HVAC | 1,933 | 2,015 | 1,888 | 1,996 | 1,829 | 1,759 | 1,938 | 1,926 | 1,861 | 1,979 | 1,822 | 1,930 | 22,875 |
| 4230 Repairs - Electrical | 3,480 | 3,208 | 3,386 | 3,225 | 3,227 | 3,453 | 3,546 | 3,376 | 3,622 | 3,566 | 3,528 | 3,633 | 41,249 |
| 4240 Repairs - Appliances | 719 | 732 | 782 | 775 | 761 | 753 | 743 | 777 | 731 | 731 | 765 | 781 | 9,051 |
| 4250 Painting & Decorating | 7,411 | 6,864 | 7,075 | 7,120 | 7,573 | 7,386 | 7,668 | 7,713 | 7,382 | 7,639 | 6,774 | 7,368 | 87,973 |

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4460 Management Fee | 2,932 | 2,890 | 2,741 | 3,045 | 2,819 | 2,931 | 2,775 | 2,787 | 2,945 | 2,769 | 2,757 | 2,832 | 34,222 |
| 4470 Property Insurance | 2,613 | 2,596 | 2,823 | 2,619 | 2,789 | 2,587 | 2,612 | 2,953 | 2,681 | 2,779 | 2,896 | 2,751 | 32,700 |
| 4480 Real Estate Taxes | 3,120 | 3,091 | 3,327 | 3,512 | 3,153 | 3,398 | 3,372 | 3,533 | 3,225 | 3,202 | 3,515 | 3,503 | 39,952 |
| 4490 Asset Management Fee | 6,746 | 7,348 | 7,229 | 7,017 | 6,745 | 7,108 | 7,121 | 7,171 | 6,922 | 7,312 | 7,590 | 7,054 | 85,362 |
| 4500 Replacement Reserves | 1,516 | 1,586 | 1,542 | 1,636 | 1,659 | 1,716 | 1,603 | 1,525 | 1,564 | 1,576 | 1,693 | 1,621 | 19,237 |
| 4510 Roof Repairs | 7,308 | 7,325 | 7,257 | 7,996 | 7,571 | 8,101 | 7,938 | 7,307 | 7,224 | 8,090 | 7,409 | 7,876 | 91,401 |
| 4520 Parking Lot Repairs | 2,381 | 2,205 | 2,330 | 2,217 | 2,372 | 2,338 | 2,453 | 2,413 | 2,196 | 2,499 | 2,393 | 2,370 | 28,166 |
| 4530 Signage | 6,385 | 6,696 | 6,708 | 6,419 | 7,086 | 6,886 | 6,499 | 6,748 | 6,901 | 6,906 | 6,816 | 6,459 | 80,509 |
| 4540 Tenant Improvements | 2,269 | 2,437 | 2,354 | 2,356 | 2,260 | 2,331 | 2,344 | 2,449 | 2,400 | 2,435 | 2,245 | 2,528 | 28,409 |
| 4550 Leasing Commissions | 3,116 | 3,207 | 3,034 | 2,895 | 2,953 | 2,862 | 3,014 | 2,985 | 3,154 | 3,137 | 3,111 | 2,821 | 36,288 |
| 4000 Gross Potential Rent | 64,389 | 70,688 | 65,767 | 62,540 | 61,966 | 67,478 | 67,536 | 65,568 | 67,869 | 70,610 | 62,713 | 66,213 | 793,337 |
| 4010 Loss to Lease | 48,619 | 50,343 | 52,644 | 52,309 | 48,221 | 48,510 | 51,923 | 46,579 | 48,949 | 46,333 | 52,457 | 52,999 | 599,886 |
| 4020 Vacancy Loss | 48,460 | 48,229 | 45,364 | 50,332 | 46,596 | 50,389 | 49,928 | 46,111 | 48,381 | 49,691 | 48,780 | 51,290 | 583,552 |
| 4030 Concessions | 50,946 | 56,861 | 51,976 | 51,486 | 52,938 | 52,951 | 53,901 | 55,979 | 57,707 | 54,232 | 57,722 | 54,917 | 651,614 |
| 4040 Bad Debt | 31,913 | 32,468 | 33,201 | 36,105 | 32,424 | 35,036 | 33,309 | 35,942 | 33,923 | 34,781 | 32,612 | 35,819 | 407,531 |
| 4050 Late Fees | 30,258 | 30,967 | 29,349 | 30,043 | 29,637 | 30,885 | 30,434 | 30,923 | 30,664 | 32,495 | 33,299 | 30,666 | 369,620 |
| 4060 Utility Reimbursements | 8,251 | 8,462 | 9,176 | 9,173 | 9,025 | 8,522 | 9,043 | 8,250 | 8,657 | 8,149 | 8,711 | 8,298 | 103,716 |
| 4070 Parking Income | 35,897 | 38,144 | 39,345 | 34,576 | 38,911 | 35,781 | 39,655 | 34,810 | 35,217 | 38,250 | 34,527 | 36,427 | 441,540 |
| 4080 Application Fees | 47,224 | 50,640 | 45,452 | 49,677 | 48,886 | 45,923 | 48,803 | 45,229 | 45,212 | 45,454 | 50,088 | 48,471 | 571,058 |
| 4090 Pet Rent | 44,429 | 46,811 | 47,794 | 47,584 | 45,634 | 48,519 | 45,868 | 46,505 | 48,309 | 46,037 | 49,372 | 47,263 | 564,123 |
| 4100 Laundry Income | 38,471 | 37,398 | 40,774 | 41,416 | 38,761 | 38,769 | 40,841 | 37,986 | 36,815 | 40,537 | 38,762 | 41,433 | 471,964 |
| 4110 Cable/Internet Revenue | 1,181 | 1,284 | 1,297 | 1,216 | 1,201 | 1,220 | 1,215 | 1,297 | 1,196 | 1,311 | 1,248 | 1,293 | 14,959 |
| 4120 CAM Reimbursements | 32,889 | 32,477 | 31,727 | 33,728 | 32,845 | 34,593 | 31,832 | 33,169 | 30,913 | 35,032 | 33,051 | 31,141 | 393,396 |
| 4130 Tax Reimbursements | 46,596 | 48,903 | 47,470 | 52,995 | 48,192 | 47,796 | 52,693 | 51,772 | 50,594 | 52,261 | 51,040 | 46,675 | 596,987 |
| 4140 Insurance Reimbursements | 27,158 | 27,399 | 24,923 | 24,157 | 26,774 | 27,021 | 25,194 | 26,422 | 27,126 | 25,275 | 27,009 | 24,592 | 313,050 |
| 4150 Percentage Rent | 50,479 | 51,929 | 50,431 | 50,747 | 48,170 | 45,360 | 51,060 | 48,863 | 46,417 | 47,149 | 48,090 | 46,753 | 585,448 |
| 4160 Misc. Income | 50,035 | 48,462 | 47,575 | 48,987 | 49,358 | 49,992 | 47,604 | 46,346 | 47,771 | 48,208 | 46,412 | 48,160 | 578,909 |
| 4170 Payroll - Management | 1,305 | 1,249 | 1,160 | 1,263 | 1,297 | 1,173 | 1,295 | 1,306 | 1,272 | 1,316 | 1,259 | 1,309 | 15,204 |
| 4180 Payroll - Leasing | 5,639 | 5,647 | 5,882 | 5,370 | 5,611 | 5,539 | 5,923 | 6,023 | 5,837 | 5,322 | 5,348 | 5,891 | 68,031 |
| 4190 Payroll - Maintenance | 5,021 | 5,077 | 4,796 | 4,650 | 4,714 | 4,690 | 5,237 | 4,677 | 5,184 | 5,147 | 5,067 | 4,584 | 58,843 |
| 4200 Payroll Taxes & Benefits | 6,740 | 6,854 | 6,937 | 6,762 | 7,275 | 7,215 | 6,545 | 7,046 | 6,598 | 7,329 | 6,992 | 6,777 | 83,071 |
| 4210 Repairs - Plumbing | 1,898 | 1,938 | 2,072 | 1,831 | 1,928 | 2,021 | 1,938 | 1,994 | 1,820 | 1,829 | 1,843 | 1,844 | 22,955 |
| 4220 Repairs - HVAC | 6,181 | 5,943 | 5,728 | 6,375 | 6,430 | 5,797 | 5,738 | 6,483 | 5,960 | 5,752 | 6,298 | 5,997 | 72,681 |
| 4230 Repairs - Electrical | 7,726 | 7,797 | 7,830 | 7,499 | 7,656 | 7,613 | 7,414 | 7,784 | 7,830 | 7,274 | 7,884 | 7,114 | 91,421 |
| 4240 Repairs - Appliances | 4,774 | 4,386 | 4,519 | 4,371 | 4,444 | 4,792 | 4,628 | 4,389 | 4,328 | 4,806 | 4,551 | 4,393 | 54,381 |
| 4250 Painting & Decorating | 7,459 | 7,636 | 6,844 | 7,041 | 6,822 | 7,667 | 7,040 | 6,796 | 6,958 | 7,504 | 7,082 | 6,913 | 85,764 |
| 4260 Flooring | 5,055 | 5,242 | 5,196 | 5,589 | 5,059 | 5,162 | 5,356 | 5,559 | 5,359 | 5,228 | 4,945 | 5,444 | 63,194 |
| 4270 Make-Ready / Turnover | 4,197 | 4,047 | 4,339 | 4,058 | 4,193 | 4,414 | 4,427 | 4,004 | 4,283 | 4,048 | 4,485 | 4,488 | 50,983 |
| 4280 Landscaping Contract | 4,615 | 4,598 | 4,442 | 4,522 | 4,678 | 4,512 | 4,483 | 4,530 | 4,917 | 4,578 | 4,732 | 4,789 | 55,395 |
| 4290 Snow Removal | 3,323 | 3,559 | 3,519 | 3,544 | 3,556 | 3,131 | 3,288 | 3,562 | 3,192 | 3,554 | 3,196 | 3,327 | 40,753 |
| 4300 Janitorial | 1,800 | 1,614 | 1,684 | 1,632 | 1,737 | 1,818 | 1,762 | 1,654 | 1,698 | 1,825 | 1,683 | 1,831 | 20,738 |
| 4310 Pest Control | 1,096 | 1,179 | 1,191 | 1,200 | 1,187 | 1,144 | 1,162 | 1,045 | 1,115 | 1,108 | 1,137 | 1,181 | 13,745 |
| 4320 Trash Removal | 7,134 | 6,322 | 6,703 | 6,853 | 6,919 | 6,812 | 6,619 | 6,843 | 6,725 | 7,138 | 6,865 | 6,281 | 81,214 |
| 4330 Elevator Contract | 1,216 | 1,192 | 1,153 | 1,128 | 1,232 | 1,118 | 1,230 | 1,251 | 1,141 | 1,269 | 1,266 | 1,217 | 14,413 |
| 4340 Fire & Life Safety | 5,961 | 6,466 | 6,243 | 6,011 | 6,315 | 5,806 | 6,295 | 6,384 | 6,127 | 6,226 | 6,012 | 6,269 | 74,115 |
| 4350 Security | 3,850 | 3,549 | 3,707 | 3,538 | 3,867 | 3,715 | 3,805 | 3,951 | 4,012 | 3,854 | 3,587 | 3,995 | 45,431 |

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## Valuation Discussion

Effective gross income for the trailing period was $91,000, representing a 11.6% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Debt service coverage ratio was 8.00x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 7.78x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Physical occupancy is 90.2% and the average in-place rent is $167 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Leasing and Marketing

Collections for the period were 92.1% of billed charges, with bad debt of 5.6% of gross potential income. Physical occupancy is 94.6% and the average in-place rent is $167 per unit per month. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Physical occupancy is 89.0% and the average in-place rent is $167 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

## Financial Analysis

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The going-in capitalization rate of 5.17% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 8.04x on a trailing basis against a covenant minimum of 1.20x. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $15,000, representing a 8.0% increase over the prior year. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Leasing and Marketing

Collections for the period were 91.4% of billed charges, with bad debt of 4.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Service requests are tracked through a work-order system with an average completion time of 32 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 93.6% and the average in-place rent is $167 per unit per month.

## Operating Performance

Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.65x on a trailing basis against a covenant minimum of 1.20x. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Physical occupancy is 95.7% and the average in-place rent is $167 per unit per month. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

## Property Operations

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4320 Trash Removal | 3,055 | 3,053 | 2,823 | 3,016 | 3,142 | 3,075 | 2,978 | 3,106 | 3,071 | 2,933 | 2,763 | 3,136 | 36,151 |
| 4330 Elevator Contract | 7,245 | 7,583 | 7,161 | 6,734 | 6,867 | 7,232 | 7,029 | 7,137 | 6,753 | 6,850 | 7,516 | 7,029 | 85,136 |
| 4340 Fire & Life Safety | 719 | 644 | 650 | 662 | 711 | 663 | 656 | 674 | 653 | 653 | 671 | 710 | 8,067 |
| 4350 Security | 8,094 | 7,632 | 7,729 | 8,247 | 7,551 | 8,354 | 7,399 | 7,856 | 7,794 | 7,954 | 7,633 | 7,479 | 93,722 |
| 4360 Electricity - Common | 5,912 | 6,198 | 6,490 | 6,034 | 5,814 | 6,142 | 6,054 | 6,487 | 6,314 | 6,065 | 6,604 | 5,852 | 73,966 |
| 4370 Gas - Common | 4,256 | 4,200 | 4,277 | 4,283 | 3,808 | 4,099 | 4,060 | 4,260 | 4,160 | 4,239 | 4,128 | 4,220 | 49,989 |
| 4380 Water & Sewer | 1,362 | 1,408 | 1,384 | 1,423 | 1,496 | 1,546 | 1,432 | 1,360 | 1,370 | 1,432 | 1,473 | 1,424 | 17,109 |
| 4390 Telephone/Internet | 1,498 | 1,361 | 1,429 | 1,518 | 1,535 | 1,406 | 1,494 | 1,401 | 1,371 | 1,559 | 1,432 | 1,434 | 17,439 |
| 4400 Advertising | 4,497 | 4,659 | 4,180 | 4,221 | 4,578 | 4,551 | 4,694 | 4,712 | 4,308 | 4,568 | 4,276 | 4,569 | 53,813 |
| 4410 Resident Events | 1,052 | 1,067 | 1,067 | 1,073 | 1,038 | 970 | 998 | 1,014 | 963 | 986 | 968 | 1,089 | 12,285 |
| 4420 Office Supplies | 4,995 | 4,877 | 4,746 | 4,874 | 4,830 | 4,737 | 4,637 | 4,991 | 5,109 | 5,119 | 4,595 | 4,665 | 58,175 |
| 4430 Legal & Professional | 2,620 | 2,836 | 2,875 | 2,682 | 2,840 | 2,869 | 2,704 | 2,844 | 2,783 | 2,700 | 2,858 | 2,969 | 33,580 |
| 4440 Accounting & Audit | 3,973 | 3,757 | 3,785 | 3,764 | 3,911 | 4,113 | 3,795 | 4,230 | 4,097 | 3,964 | 3,856 | 4,147 | 47,393 |
| 4450 Licenses & Permits | 1,897 | 1,916 | 2,041 | 2,094 | 1,867 | 1,895 | 1,872 | 1,878 | 2,030 | 1,922 | 2,071 | 1,871 | 23,355 |
| 4460 Management Fee | 6,964 | 6,930 | 7,148 | 6,759 | 7,404 | 6,774 | 7,464 | 7,029 | 6,750 | 7,009 | 6,972 | 6,896 | 84,101 |
| 4470 Property Insurance | 5,622 | 6,142 | 6,373 | 6,032 | 6,264 | 5,841 | 5,892 | 6,359 | 6,363 | 5,756 | 5,959 | 5,761 | 72,364 |
| 4480 Real Estate Taxes | 7,702 | 7,339 | 7,505 | 7,664 | 7,994 | 7,525 | 7,540 | 7,615 | 7,873 | 7,551 | 7,132 | 7,186 | 90,625 |
| 4490 Asset Management Fee | 5,727 | 5,815 | 5,664 | 5,569 | 5,810 | 5,850 | 6,322 | 6,286 | 5,615 | 5,808 | 5,606 | 5,675 | 69,747 |
| 4500 Replacement Reserves | 3,579 | 3,330 | 3,429 | 3,351 | 3,246 | 3,302 | 3,219 | 3,410 | 3,190 | 3,226 | 3,543 | 3,280 | 40,104 |
| 4510 Roof Repairs | 4,056 | 4,531 | 4,373 | 4,367 | 4,080 | 4,235 | 4,181 | 4,368 | 4,499 | 4,260 | 4,231 | 4,374 | 51,556 |
| 4520 Parking Lot Repairs | 2,094 | 2,333 | 2,364 | 2,350 | 2,259 | 2,181 | 2,314 | 2,085 | 2,182 | 2,084 | 2,089 | 2,163 | 26,499 |
| 4530 Signage | 7,096 | 7,349 | 7,323 | 7,156 | 6,788 | 7,124 | 7,498 | 7,544 | 7,000 | 7,258 | 6,777 | 7,170 | 86,082 |
| 4540 Tenant Improvements | 1,687 | 1,745 | 1,606 | 1,715 | 1,811 | 1,811 | 1,695 | 1,819 | 1,628 | 1,627 | 1,628 | 1,708 | 20,479 |
| 4550 Leasing Commissions | 8,450 | 7,602 | 7,650 | 7,898 | 7,844 | 8,328 | 7,720 | 8,247 | 7,904 | 8,007 | 8,403 | 7,722 | 95,775 |
| 4000 Gross Potential Rent | 62,641 | 70,600 | 68,770 | 64,272 | 62,128 | 63,788 | 64,216 | 66,629 | 68,701 | 66,694 | 67,950 | 68,200 | 794,589 |
| 4010 Loss to Lease | 51,817 | 49,580 | 46,149 | 51,401 | 48,704 | 46,577 | 50,157 | 50,733 | 47,480 | 47,147 | 52,191 | 47,317 | 589,253 |
| 4020 Vacancy Loss | 53,975 | 50,219 | 50,862 | 53,959 | 53,100 | 50,458 | 53,103 | 52,392 | 52,102 | 51,354 | 53,958 | 49,886 | 625,368 |
| 4030 Concessions | 34,249 | 36,574 | 36,442 | 37,571 | 36,336 | 34,519 | 36,525 | 38,694 | 35,845 | 36,492 | 34,773 | 37,230 | 435,250 |
| 4040 Bad Debt | 40,086 | 36,651 | 37,393 | 39,362 | 34,998 | 37,120 | 35,152 | 35,055 | 37,326 | 36,852 | 38,886 | 39,099 | 447,981 |
| 4050 Late Fees | 3,356 | 3,787 | 3,593 | 3,603 | 3,447 | 3,320 | 3,346 | 3,548 | 3,460 | 3,410 | 3,717 | 3,379 | 41,968 |
| 4060 Utility Reimbursements | 29,354 | 29,687 | 29,646 | 29,972 | 28,583 | 29,703 | 28,636 | 29,875 | 27,113 | 29,538 | 26,199 | 28,093 | 346,399 |
| 4070 Parking Income | 50,652 | 52,124 | 48,810 | 51,318 | 49,783 | 47,683 | 49,652 | 45,585 | 46,311 | 45,501 | 47,018 | 45,712 | 580,150 |
| 4080 Application Fees | 9,925 | 9,619 | 9,599 | 9,978 | 10,499 | 10,212 | 10,591 | 10,281 | 10,339 | 9,562 | 9,611 | 9,505 | 119,723 |
| 4090 Pet Rent | 26,535 | 26,900 | 29,798 | 29,671 | 26,290 | 26,776 | 27,589 | 29,759 | 26,366 | 26,955 | 28,152 | 29,234 | 334,026 |
| 4100 Laundry Income | 30,083 | 31,555 | 31,159 | 31,189 | 29,842 | 32,247 | 28,572 | 30,675 | 31,769 | 28,284 | 28,914 | 29,590 | 363,878 |
| 4110 Cable/Internet Revenue | 19,876 | 19,796 | 20,347 | 21,151 | 20,396 | 22,259 | 22,393 | 21,184 | 19,839 | 20,404 | 20,757 | 20,002 | 248,404 |
| 4120 CAM Reimbursements | 11,020 | 11,305 | 10,342 | 10,714 | 11,204 | 10,482 | 11,376 | 10,360 | 10,357 | 10,104 | 10,010 | 9,953 | 127,227 |
| 4130 Tax Reimbursements | 25,616 | 26,028 | 24,935 | 27,551 | 24,767 | 26,174 | 26,069 | 27,032 | 24,884 | 27,574 | 27,346 | 24,491 | 312,467 |
| 4140 Insurance Reimbursements | 3,547 | 3,833 | 3,503 | 3,728 | 3,442 | 3,921 | 3,925 | 3,706 | 3,470 | 3,590 | 3,835 | 3,897 | 44,397 |
| 4150 Percentage Rent | 14,474 | 14,034 | 14,815 | 14,302 | 15,643 | 15,673 | 15,059 | 15,390 | 13,942 | 13,718 | 14,967 | 13,737 | 175,753 |
| 4160 Misc. Income | 25,329 | 26,659 | 26,810 | 26,000 | 24,078 | 24,786 | 24,396 | 25,684 | 26,949 | 26,784 | 24,893 | 25,709 | 308,078 |
| 4170 Payroll - Management | 6,954 | 6,562 | 6,359 | 7,013 | 6,623 | 7,089 | 6,727 | 6,662 | 6,395 | 6,848 | 6,784 | 7,061 | 81,077 |
| 4180 Payroll - Leasing | 2,136 | 2,142 | 2,087 | 2,031 | 1,963 | 1,956 | 2,135 | 2,087 | 1,943 | 2,193 | 2,092 | 1,964 | 24,730 |
| 4190 Payroll - Maintenance | 2,514 | 2,598 | 2,603 | 2,567 | 2,516 | 2,682 | 2,581 | 2,653 | 2,712 | 2,443 | 2,631 | 2,725 | 31,225 |

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## Income and Expense Review

Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.74% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Debt service coverage ratio was 6.06x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $249,000, representing a 7.1% increase over the prior year.

Debt service coverage ratio was 5.93x on a trailing basis against a covenant minimum of 1.20x. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $84,000, representing a 7.4% increase over the prior year. The going-in capitalization rate of 7.52% reflects the in-place income and the stabilized occupancy assumption.

## Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 92.2% and the average in-place rent is $167 per unit per month. Collections for the period were 91.2% of billed charges, with bad debt of 7.4% of gross potential income.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Collections for the period were 97.0% of billed charges, with bad debt of 6.5% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 46 hours.

## Income and Expense Review

Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The going-in capitalization rate of 6.81% reflects the in-place income and the stabilized occupancy assumption. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Operating expenses totaled $442,000 or approximately 23.13 per square foot, with real estate taxes representing the largest line item. Physical occupancy is 96.9% and the average in-place rent is $167 per unit per month. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses.

## Management Commentary

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Collections for the period were 90.2% of billed charges, with bad debt of 6.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 46 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members. Physical occupancy is 92.1% and the average in-place rent is $167 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 88.8% of billed charges, with bad debt of 4.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. Service requests are tracked through a work-order system with an average completion time of 4 hours.

## Valuation Discussion

The going-in capitalization rate of 6.14% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 90.6% and the average in-place rent is $167 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The going-in capitalization rate of 8.03% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $288,000 or approximately 10.27 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4230 Repairs - Electrical | 3,830 | 4,067 | 3,677 | 3,695 | 4,115 | 3,755 | 3,934 | 3,723 | 4,150 | 3,890 | 3,967 | 3,987 | 46,791 |
| 4240 Repairs - Appliances | 6,587 | 6,578 | 6,182 | 6,319 | 6,927 | 6,802 | 6,687 | 6,516 | 6,468 | 6,304 | 6,886 | 6,650 | 78,905 |
| 4250 Painting & Decorating | 1,336 | 1,337 | 1,476 | 1,354 | 1,457 | 1,403 | 1,318 | 1,441 | 1,487 | 1,404 | 1,501 | 1,460 | 16,975 |
| 4260 Flooring | 6,818 | 7,150 | 6,540 | 6,271 | 6,252 | 6,306 | 6,796 | 7,084 | 6,485 | 6,258 | 6,869 | 7,178 | 80,008 |
| 4270 Make-Ready / Turnover | 2,428 | 2,430 | 2,430 | 2,419 | 2,201 | 2,263 | 2,309 | 2,184 | 2,178 | 2,267 | 2,365 | 2,344 | 27,818 |
| 4280 Landscaping Contract | 2,781 | 3,041 | 2,972 | 2,824 | 2,925 | 2,807 | 2,971 | 2,734 | 2,801 | 2,903 | 2,859 | 2,776 | 34,394 |
| 4290 Snow Removal | 6,478 | 6,535 | 6,187 | 6,467 | 6,227 | 5,737 | 6,007 | 6,030 | 6,036 | 5,846 | 6,190 | 5,982 | 73,723 |
| 4300 Janitorial | 855 | 823 | 935 | 899 | 892 | 912 | 870 | 840 | 910 | 824 | 870 | 901 | 10,529 |
| 4310 Pest Control | 2,712 | 2,459 | 2,473 | 2,741 | 2,557 | 2,502 | 2,598 | 2,488 | 2,543 | 2,455 | 2,553 | 2,698 | 30,778 |
| 4320 Trash Removal | 2,704 | 2,880 | 2,745 | 2,686 | 2,671 | 2,773 | 2,650 | 2,720 | 2,873 | 2,924 | 2,949 | 2,779 | 33,355 |
| 4330 Elevator Contract | 7,200 | 7,287 | 7,526 | 7,520 | 7,004 | 7,285 | 7,164 | 7,615 | 7,084 | 6,935 | 7,004 | 6,785 | 86,407 |
| 4340 Fire & Life Safety | 5,533 | 4,959 | 4,892 | 5,042 | 5,499 | 5,501 | 5,368 | 5,500 | 5,212 | 4,956 | 5,443 | 5,356 | 63,262 |
| 4350 Security | 6,996 | 6,964 | 7,089 | 7,092 | 6,786 | 6,849 | 7,211 | 6,885 | 6,660 | 7,565 | 7,095 | 7,360 | 84,550 |
| 4360 Electricity - Common | 2,005 | 1,868 | 1,858 | 2,076 | 1,952 | 1,907 | 2,069 | 1,965 | 1,831 | 2,014 | 1,954 | 1,935 | 23,435 |
| 4370 Gas - Common | 5,611 | 5,380 | 5,933 | 5,449 | 5,648 | 5,754 | 5,377 | 5,487 | 5,904 | 5,783 | 5,886 | 5,257 | 67,469 |
| 4380 Water & Sewer | 4,312 | 4,275 | 4,211 | 3,946 | 4,177 | 4,139 | 4,187 | 3,874 | 4,206 | 4,190 | 4,000 | 4,193 | 49,711 |
| 4390 Telephone/Internet | 8,015 | 7,802 | 7,437 | 7,304 | 7,486 | 8,051 | 8,078 | 7,375 | 7,719 | 7,586 | 7,226 | 7,402 | 91,480 |
| 4400 Advertising | 7,925 | 7,803 | 8,414 | 8,061 | 8,278 | 7,884 | 8,400 | 8,248 | 7,646 | 7,878 | 7,362 | 7,576 | 95,476 |
| 4410 Resident Events | 3,486 | 3,465 | 3,351 | 3,413 | 3,282 | 3,588 | 3,288 | 3,413 | 3,414 | 3,538 | 3,168 | 3,601 | 41,007 |
| 4420 Office Supplies | 1,821 | 1,625 | 1,600 | 1,607 | 1,669 | 1,604 | 1,813 | 1,734 | 1,790 | 1,704 | 1,748 | 1,592 | 20,308 |
| 4430 Legal & Professional | 2,230 | 2,162 | 2,322 | 2,319 | 2,223 | 2,280 | 2,293 | 2,304 | 2,145 | 2,245 | 2,219 | 2,293 | 27,036 |
| 4440 Accounting & Audit | 3,812 | 3,692 | 3,808 | 3,587 | 3,651 | 3,881 | 3,536 | 3,744 | 3,580 | 3,633 | 3,706 | 3,506 | 44,137 |
| 4450 Licenses & Permits | 2,139 | 2,098 | 2,199 | 2,220 | 2,077 | 2,238 | 2,106 | 2,211 | 2,302 | 2,375 | 2,098 | 2,217 | 26,281 |
| 4460 Management Fee | 2,694 | 2,864 | 2,849 | 2,633 | 2,628 | 2,806 | 2,703 | 2,682 | 2,674 | 2,946 | 2,642 | 2,777 | 32,897 |
| 4470 Property Insurance | 5,474 | 5,708 | 5,507 | 5,761 | 5,391 | 5,608 | 5,720 | 6,116 | 5,491 | 5,814 | 5,590 | 5,980 | 68,159 |
| 4480 Real Estate Taxes | 3,200 | 3,184 | 3,553 | 3,517 | 3,519 | 3,179 | 3,539 | 3,145 | 3,299 | 3,356 | 3,299 | 3,318 | 40,109 |
| 4490 Asset Management Fee | 3,370 | 3,635 | 3,826 | 3,470 | 3,498 | 3,736 | 3,711 | 3,445 | 3,696 | 3,350 | 3,721 | 3,645 | 43,102 |
| 4500 Replacement Reserves | 2,406 | 2,503 | 2,466 | 2,687 | 2,443 | 2,668 | 2,755 | 2,621 | 2,650 | 2,483 | 2,429 | 2,474 | 30,586 |
| 4510 Roof Repairs | 3,798 | 3,667 | 3,801 | 3,789 | 3,394 | 3,754 | 3,490 | 3,589 | 3,793 | 3,395 | 3,604 | 3,555 | 43,631 |
| 4520 Parking Lot Repairs | 7,157 | 7,453 | 7,218 | 8,041 | 7,394 | 7,478 | 7,424 | 7,368 | 7,254 | 7,391 | 7,790 | 7,349 | 89,317 |
| 4530 Signage | 3,197 | 3,478 | 3,152 | 3,100 | 3,197 | 3,466 | 3,110 | 3,414 | 3,334 | 3,422 | 3,394 | 3,429 | 39,692 |
| 4540 Tenant Improvements | 4,056 | 3,967 | 4,223 | 3,891 | 3,973 | 4,137 | 3,853 | 3,796 | 4,074 | 3,764 | 4,052 | 3,790 | 47,577 |
| 4550 Leasing Commissions | 4,525 | 4,428 | 4,246 | 4,373 | 4,574 | 4,364 | 4,479 | 4,340 | 4,080 | 4,083 | 4,135 | 4,337 | 51,962 |
| 4000 Gross Potential Rent | 68,985 | 66,457 | 69,458 | 65,912 | 66,988 | 63,314 | 65,720 | 67,383 | 70,913 | 63,184 | 70,666 | 64,082 | 803,063 |
| 4010 Loss to Lease | 62,289 | 55,819 | 54,584 | 59,862 | 54,634 | 61,251 | 58,493 | 57,450 | 60,233 | 58,039 | 55,657 | 60,219 | 698,528 |
| 4020 Vacancy Loss | 8,401 | 8,663 | 8,777 | 8,048 | 8,964 | 7,880 | 7,907 | 8,066 | 8,864 | 8,614 | 8,730 | 8,585 | 101,498 |
| 4030 Concessions | 30,107 | 33,068 | 32,307 | 30,732 | 30,500 | 34,043 | 30,804 | 33,753 | 30,201 | 33,019 | 33,721 | 31,954 | 384,208 |
| 4040 Bad Debt | 3,232 | 3,046 | 3,221 | 3,361 | 3,358 | 3,122 | 2,939 | 3,361 | 3,211 | 3,241 | 2,958 | 3,229 | 38,280 |
| 4050 Late Fees | 56,441 | 55,454 | 59,116 | 56,712 | 58,613 | 55,618 | 54,220 | 59,632 | 53,164 | 53,350 | 58,112 | 56,036 | 676,466 |
| 4060 Utility Reimbursements | 34,552 | 32,448 | 31,753 | 31,675 | 30,615 | 33,913 | 33,461 | 33,434 | 32,113 | 34,717 | 33,720 | 31,196 | 393,597 |
| 4070 Parking Income | 17,618 | 17,619 | 17,381 | 16,813 | 16,545 | 16,717 | 18,067 | 16,443 | 17,206 | 16,827 | 17,889 | 17,920 | 207,044 |
| 4080 Application Fees | 40,489 | 41,781 | 40,714 | 38,734 | 41,688 | 42,136 | 41,552 | 39,057 | 39,997 | 37,617 | 37,433 | 42,469 | 483,667 |
| 4090 Pet Rent | 13,258 | 13,486 | 13,961 | 13,025 | 12,820 | 14,015 | 12,601 | 13,630 | 13,550 | 12,356 | 14,041 | 13,599 | 160,342 |
| 4100 Laundry Income | 57,868 | 53,751 | 52,200 | 51,186 | 50,892 | 51,416 | 52,336 | 57,514 | 54,738 | 55,090 | 53,037 | 52,923 | 642,951 |
| 4110 Cable/Internet Revenue | 19,544 | 19,809 | 21,379 | 21,214 | 19,464 | 20,303 | 21,352 | 20,857 | 20,730 | 21,232 | 19,032 | 19,060 | 243,975 |

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## Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $459,000, representing a 4.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. Physical occupancy is 97.0% and the average in-place rent is $167 per unit per month.

Physical occupancy is 95.9% and the average in-place rent is $167 per unit per month. Effective gross income for the trailing period was $333,000, representing a 7.5% increase over the prior year. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.11% reflects the in-place income and the stabilized occupancy assumption.

## Leasing and Marketing

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. Physical occupancy is 88.6% and the average in-place rent is $167 per unit per month. Collections for the period were 92.1% of billed charges, with bad debt of 7.1% of gross potential income. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Service requests are tracked through a work-order system with an average completion time of 40 hours. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Financial Analysis

Operating expenses totaled $257,000 or approximately 33.39 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Effective gross income for the trailing period was $282,000, representing a 10.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $53,000 or approximately 14.87 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

## Management Commentary

Physical occupancy is 90.7% and the average in-place rent is $167 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Service requests are tracked through a work-order system with an average completion time of 41 hours. Collections for the period were 91.3% of billed charges, with bad debt of 7.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members.

## Valuation Discussion

Effective gross income for the trailing period was $181,000, representing a 5.9% increase over the prior year. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.84x on a trailing basis against a covenant minimum of 1.20x. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

Physical occupancy is 93.0% and the average in-place rent is $167 per unit per month. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.17% reflects the in-place income and the stabilized occupancy assumption. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4080 Application Fees | 13,001 | 12,802 | 13,717 | 13,647 | 13,051 | 12,564 | 13,220 | 13,693 | 13,922 | 12,904 | 12,714 | 14,439 | 159,673 |
| 4090 Pet Rent | 10,870 | 11,175 | 11,731 | 11,384 | 10,857 | 10,749 | 11,552 | 11,922 | 11,591 | 11,926 | 12,024 | 10,727 | 136,507 |
| 4100 Laundry Income | 47,503 | 50,383 | 46,415 | 50,525 | 51,136 | 51,102 | 50,308 | 48,217 | 51,110 | 47,033 | 47,200 | 47,682 | 588,613 |
| 4110 Cable/Internet Revenue | 34,290 | 30,729 | 31,687 | 33,322 | 31,665 | 31,677 | 33,185 | 34,366 | 30,562 | 31,736 | 34,030 | 30,473 | 387,723 |
| 4120 CAM Reimbursements | 9,621 | 10,137 | 10,102 | 9,745 | 9,698 | 10,274 | 9,434 | 9,339 | 9,657 | 10,264 | 10,171 | 9,275 | 117,716 |
| 4130 Tax Reimbursements | 27,963 | 27,716 | 25,527 | 25,385 | 25,498 | 25,711 | 28,037 | 28,147 | 27,678 | 25,190 | 25,049 | 28,024 | 319,925 |
| 4140 Insurance Reimbursements | 31,740 | 31,878 | 34,505 | 34,133 | 34,460 | 31,975 | 34,092 | 32,333 | 34,481 | 31,865 | 30,604 | 32,354 | 394,419 |
| 4150 Percentage Rent | 58,396 | 54,216 | 55,660 | 56,061 | 54,457 | 58,427 | 58,845 | 61,160 | 58,166 | 60,605 | 59,650 | 54,377 | 690,019 |
| 4160 Misc. Income | 16,731 | 17,297 | 17,220 | 17,146 | 16,871 | 18,282 | 17,150 | 16,942 | 18,382 | 17,215 | 16,791 | 16,601 | 206,628 |
| 4170 Payroll - Management | 6,128 | 6,447 | 6,511 | 6,305 | 6,165 | 6,709 | 6,165 | 6,261 | 6,120 | 6,280 | 6,252 | 6,616 | 75,958 |
| 4180 Payroll - Leasing | 3,559 | 4,060 | 4,064 | 3,641 | 3,762 | 3,952 | 3,833 | 3,697 | 3,940 | 4,081 | 3,917 | 3,692 | 46,198 |
| 4190 Payroll - Maintenance | 5,874 | 5,561 | 5,551 | 6,129 | 5,892 | 5,563 | 5,530 | 5,987 | 5,398 | 6,119 | 5,793 | 5,979 | 69,378 |
| 4200 Payroll Taxes & Benefits | 2,712 | 2,697 | 2,814 | 2,840 | 2,813 | 2,784 | 2,589 | 2,786 | 2,819 | 2,705 | 2,919 | 2,721 | 33,201 |
| 4210 Repairs - Plumbing | 6,149 | 6,467 | 6,105 | 6,465 | 6,112 | 6,275 | 6,149 | 5,912 | 6,002 | 6,629 | 6,025 | 6,517 | 74,806 |
| 4220 Repairs - HVAC | 6,842 | 7,643 | 7,198 | 7,057 | 7,821 | 7,576 | 7,126 | 7,313 | 7,377 | 7,009 | 7,688 | 7,362 | 88,013 |
| 4230 Repairs - Electrical | 4,086 | 3,982 | 3,913 | 4,315 | 3,987 | 4,076 | 4,344 | 4,237 | 3,895 | 4,432 | 3,886 | 3,922 | 49,073 |
| 4240 Repairs - Appliances | 5,760 | 5,867 | 5,926 | 5,627 | 5,176 | 5,490 | 5,900 | 5,581 | 5,201 | 5,172 | 5,520 | 5,262 | 66,483 |
| 4250 Painting & Decorating | 4,638 | 4,552 | 4,371 | 4,694 | 4,231 | 4,773 | 4,608 | 4,372 | 4,308 | 4,726 | 4,168 | 4,502 | 53,943 |
| 4260 Flooring | 1,071 | 1,203 | 1,084 | 1,073 | 1,056 | 1,127 | 1,164 | 1,179 | 1,132 | 1,090 | 1,130 | 1,111 | 13,419 |
| 4270 Make-Ready / Turnover | 791 | 820 | 845 | 789 | 856 | 836 | 790 | 805 | 851 | 886 | 798 | 858 | 9,926 |
| 4280 Landscaping Contract | 1,088 | 985 | 1,001 | 998 | 1,086 | 977 | 1,003 | 1,072 | 968 | 979 | 1,088 | 1,095 | 12,339 |
| 4290 Snow Removal | 1,441 | 1,545 | 1,424 | 1,574 | 1,580 | 1,501 | 1,530 | 1,449 | 1,432 | 1,423 | 1,551 | 1,602 | 18,053 |
| 4300 Janitorial | 5,125 | 5,197 | 5,151 | 4,869 | 4,587 | 4,615 | 4,737 | 5,200 | 4,833 | 5,242 | 5,240 | 4,696 | 59,492 |
| 4310 Pest Control | 1,763 | 1,908 | 1,985 | 1,925 | 1,895 | 1,854 | 1,772 | 1,882 | 1,956 | 1,989 | 1,961 | 1,744 | 22,633 |
| 4320 Trash Removal | 4,547 | 4,558 | 4,197 | 4,439 | 4,547 | 4,473 | 4,417 | 4,534 | 4,681 | 4,216 | 4,629 | 4,773 | 54,010 |
| 4330 Elevator Contract | 6,158 | 6,027 | 5,956 | 5,549 | 6,115 | 6,032 | 5,851 | 6,230 | 5,963 | 6,049 | 5,702 | 6,117 | 71,750 |
| 4340 Fire & Life Safety | 6,983 | 7,381 | 7,295 | 7,547 | 7,436 | 7,849 | 7,400 | 7,166 | 7,519 | 7,415 | 7,766 | 7,219 | 88,975 |
| 4350 Security | 4,176 | 4,078 | 4,247 | 4,188 | 4,609 | 4,402 | 4,533 | 4,533 | 4,396 | 4,635 | 4,113 | 4,141 | 52,051 |
| 4360 Electricity - Common | 4,755 | 5,189 | 5,304 | 4,817 | 5,283 | 4,710 | 4,824 | 5,313 | 5,220 | 5,249 | 4,619 | 5,088 | 60,371 |
| 4370 Gas - Common | 7,616 | 7,525 | 6,753 | 7,621 | 7,040 | 6,697 | 7,063 | 7,384 | 7,491 | 7,314 | 6,690 | 7,422 | 86,616 |
| 4380 Water & Sewer | 1,492 | 1,408 | 1,419 | 1,416 | 1,474 | 1,385 | 1,462 | 1,453 | 1,451 | 1,388 | 1,342 | 1,487 | 17,179 |
| 4390 Telephone/Internet | 7,352 | 7,252 | 6,691 | 6,844 | 7,251 | 7,036 | 7,141 | 7,069 | 7,255 | 6,802 | 7,044 | 7,229 | 84,967 |
| 4400 Advertising | 7,231 | 6,978 | 7,048 | 7,597 | 7,496 | 7,649 | 7,403 | 6,802 | 7,238 | 7,172 | 7,677 | 7,629 | 87,918 |
| 4410 Resident Events | 1,975 | 1,850 | 2,048 | 1,887 | 1,793 | 1,838 | 2,007 | 1,786 | 2,028 | 1,838 | 1,836 | 1,897 | 22,785 |
| 4420 Office Supplies | 3,900 | 3,895 | 4,106 | 3,790 | 3,688 | 3,919 | 3,727 | 3,755 | 4,164 | 4,001 | 3,780 | 3,952 | 46,678 |
| 4430 Legal & Professional | 6,370 | 5,819 | 5,986 | 6,185 | 6,186 | 6,018 | 5,728 | 6,035 | 6,257 | 6,070 | 5,555 | 5,621 | 71,830 |
| 4440 Accounting & Audit | 7,605 | 7,408 | 7,592 | 7,724 | 7,681 | 7,426 | 7,329 | 7,863 | 7,377 | 7,440 | 8,171 | 7,771 | 91,387 |
| 4450 Licenses & Permits | 3,763 | 3,548 | 3,956 | 3,842 | 4,006 | 3,546 | 3,883 | 3,526 | 3,913 | 3,594 | 3,922 | 3,840 | 45,340 |
| 4460 Management Fee | 2,440 | 2,623 | 2,740 | 2,617 | 2,540 | 2,467 | 2,594 | 2,591 | 2,627 | 2,441 | 2,463 | 2,621 | 30,763 |
| 4470 Property Insurance | 3,898 | 4,125 | 3,744 | 3,815 | 4,013 | 4,047 | 3,762 | 3,823 | 3,865 | 4,252 | 4,258 | 4,207 | 47,809 |
| 4480 Real Estate Taxes | 1,887 | 2,065 | 1,919 | 1,902 | 1,852 | 2,029 | 1,926 | 1,915 | 1,820 | 1,902 | 1,854 | 1,852 | 22,923 |
| 4490 Asset Management Fee | 5,173 | 5,749 | 5,359 | 5,465 | 5,430 | 5,713 | 5,754 | 5,492 | 5,565 | 5,709 | 5,776 | 5,391 | 66,576 |
| 4500 Replacement Reserves | 3,298 | 3,366 | 3,081 | 3,120 | 3,287 | 3,231 | 3,103 | 3,254 | 3,379 | 3,209 | 3,394 | 3,367 | 39,090 |
| 4510 Roof Repairs | 6,458 | 5,795 | 6,502 | 5,721 | 6,214 | 5,826 | 6,512 | 6,421 | 5,738 | 6,480 | 5,921 | 6,505 | 74,094 |

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## Financial Analysis

Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.56% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.92x on a trailing basis against a covenant minimum of 1.20x. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The going-in capitalization rate of 7.10% reflects the in-place income and the stabilized occupancy assumption. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Operating expenses totaled $353,000 or approximately 44.28 per square foot, with real estate taxes representing the largest line item.

## Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 94.5% and the average in-place rent is $167 per unit per month.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Physical occupancy is 94.1% and the average in-place rent is $167 per unit per month. Collections for the period were 89.4% of billed charges, with bad debt of 6.6% of gross potential income.

## Income and Expense Review

Operating expenses totaled $48,000 or approximately 11.42 per square foot, with real estate taxes representing the largest line item. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.63% reflects the in-place income and the stabilized occupancy assumption.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $387,000, representing a 12.0% increase over the prior year.

## Management Commentary

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 8 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Physical occupancy is 90.6% and the average in-place rent is $167 per unit per month. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 10 hours. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

## Operating Performance

Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.64% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.76x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $408,000 or approximately 30.76 per square foot, with real estate taxes representing the largest line item. Physical occupancy is 94.5% and the average in-place rent is $167 per unit per month. Effective gross income for the trailing period was $343,000, representing a 5.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Debt service coverage ratio was 5.73x on a trailing basis against a covenant minimum of 1.20x.

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4110 Cable/Internet Revenue | 13,462 | 13,266 | 12,539 | 12,879 | 12,920 | 13,762 | 13,351 | 12,591 | 13,655 | 13,118 | 13,264 | 13,052 | 157,858 |
| 4120 CAM Reimbursements | 17,740 | 18,950 | 17,358 | 17,686 | 16,825 | 18,456 | 17,211 | 17,225 | 19,004 | 17,463 | 17,005 | 17,556 | 212,481 |
| 4130 Tax Reimbursements | 8,097 | 7,925 | 7,934 | 7,753 | 7,369 | 7,491 | 8,057 | 8,236 | 8,087 | 7,808 | 8,398 | 7,551 | 94,706 |
| 4140 Insurance Reimbursements | 14,558 | 16,161 | 15,473 | 16,063 | 15,752 | 16,190 | 14,254 | 14,608 | 14,284 | 14,374 | 15,143 | 14,151 | 181,012 |
| 4150 Percentage Rent | 9,390 | 9,424 | 9,929 | 9,910 | 9,455 | 9,991 | 10,443 | 9,663 | 10,119 | 9,581 | 10,007 | 9,394 | 117,307 |
| 4160 Misc. Income | 7,220 | 6,795 | 7,393 | 6,553 | 6,670 | 7,479 | 7,344 | 7,437 | 6,804 | 7,121 | 6,715 | 6,687 | 84,218 |
| 4170 Payroll - Management | 3,258 | 2,996 | 3,114 | 3,068 | 3,107 | 3,387 | 3,172 | 3,222 | 3,283 | 3,246 | 3,263 | 2,978 | 38,094 |
| 4180 Payroll - Leasing | 5,543 | 5,412 | 5,023 | 5,531 | 5,318 | 5,134 | 5,132 | 5,020 | 5,204 | 5,126 | 5,158 | 5,153 | 62,754 |
| 4190 Payroll - Maintenance | 3,174 | 3,230 | 2,913 | 2,982 | 2,972 | 3,242 | 3,068 | 2,987 | 3,202 | 3,185 | 2,866 | 3,040 | 36,862 |
| 4200 Payroll Taxes & Benefits | 7,211 | 6,821 | 6,906 | 6,688 | 6,664 | 7,236 | 6,936 | 6,647 | 7,098 | 6,950 | 6,678 | 6,674 | 82,509 |
| 4210 Repairs - Plumbing | 3,560 | 3,207 | 3,588 | 3,618 | 3,654 | 3,369 | 3,416 | 3,255 | 3,214 | 3,350 | 3,223 | 3,247 | 40,701 |
| 4220 Repairs - HVAC | 4,074 | 4,327 | 4,383 | 4,520 | 4,232 | 4,051 | 4,021 | 4,393 | 4,138 | 4,319 | 4,117 | 4,514 | 51,088 |
| 4230 Repairs - Electrical | 4,533 | 4,329 | 4,233 | 4,537 | 4,019 | 4,003 | 4,058 | 4,090 | 4,059 | 4,570 | 4,558 | 4,307 | 51,296 |
| 4240 Repairs - Appliances | 7,876 | 7,416 | 7,940 | 7,693 | 7,352 | 7,988 | 7,430 | 7,783 | 7,277 | 7,668 | 7,681 | 7,113 | 91,218 |
| 4250 Painting & Decorating | 3,331 | 3,472 | 3,644 | 3,318 | 3,665 | 3,272 | 3,415 | 3,636 | 3,417 | 3,537 | 3,232 | 3,367 | 41,306 |
| 4260 Flooring | 5,661 | 5,515 | 5,507 | 5,711 | 5,848 | 5,952 | 5,312 | 5,416 | 6,085 | 6,000 | 5,807 | 5,415 | 68,229 |
| 4270 Make-Ready / Turnover | 4,557 | 4,723 | 4,399 | 4,654 | 4,579 | 4,680 | 4,780 | 4,781 | 4,315 | 4,219 | 4,241 | 4,554 | 54,484 |
| 4280 Landscaping Contract | 4,949 | 5,386 | 4,961 | 5,148 | 5,116 | 5,512 | 5,315 | 5,554 | 4,958 | 4,934 | 5,355 | 5,073 | 62,263 |
| 4290 Snow Removal | 4,712 | 4,928 | 5,030 | 4,825 | 4,697 | 5,264 | 4,859 | 4,748 | 5,298 | 4,836 | 5,211 | 4,811 | 59,217 |
| 4300 Janitorial | 3,048 | 3,167 | 3,179 | 3,077 | 3,224 | 2,964 | 2,932 | 3,019 | 3,000 | 2,980 | 3,233 | 3,184 | 37,007 |
| 4310 Pest Control | 4,535 | 4,236 | 4,596 | 4,228 | 4,485 | 4,666 | 4,819 | 4,322 | 4,434 | 4,690 | 4,498 | 4,690 | 54,198 |
| 4320 Trash Removal | 4,314 | 4,571 | 4,588 | 4,741 | 4,393 | 4,404 | 4,708 | 4,764 | 4,667 | 4,771 | 4,555 | 4,877 | 55,355 |
| 4330 Elevator Contract | 4,424 | 4,672 | 4,379 | 4,668 | 4,201 | 4,481 | 4,152 | 4,356 | 4,765 | 4,409 | 4,589 | 4,628 | 53,722 |
| 4340 Fire & Life Safety | 4,011 | 3,777 | 3,721 | 3,614 | 3,868 | 3,811 | 4,084 | 3,769 | 3,649 | 3,672 | 3,600 | 4,085 | 45,660 |
| 4350 Security | 5,123 | 4,805 | 4,858 | 4,787 | 5,189 | 4,864 | 4,785 | 5,016 | 5,004 | 4,752 | 4,768 | 5,193 | 59,145 |
| 4360 Electricity - Common | 4,122 | 3,988 | 4,073 | 3,954 | 4,178 | 4,070 | 4,224 | 4,192 | 4,288 | 4,047 | 3,924 | 3,936 | 48,997 |
| 4370 Gas - Common | 7,282 | 7,678 | 7,569 | 7,296 | 6,910 | 6,960 | 7,625 | 6,938 | 7,306 | 6,964 | 6,785 | 6,862 | 86,175 |
| 4380 Water & Sewer | 2,613 | 2,584 | 2,849 | 2,563 | 2,531 | 2,888 | 2,664 | 2,566 | 2,590 | 2,667 | 2,845 | 2,872 | 32,233 |
| 4390 Telephone/Internet | 1,327 | 1,361 | 1,406 | 1,477 | 1,433 | 1,363 | 1,509 | 1,479 | 1,514 | 1,481 | 1,464 | 1,508 | 17,322 |
| 4400 Advertising | 2,057 | 2,048 | 2,047 | 2,058 | 2,072 | 2,083 | 1,969 | 2,107 | 2,078 | 2,007 | 1,930 | 1,909 | 24,365 |
| 4410 Resident Events | 6,388 | 6,199 | 5,848 | 5,702 | 6,108 | 5,905 | 5,885 | 6,071 | 6,098 | 5,769 | 5,792 | 6,348 | 72,111 |
| 4420 Office Supplies | 3,089 | 3,177 | 2,964 | 3,047 | 2,967 | 2,974 | 3,020 | 2,969 | 3,007 | 3,207 | 3,149 | 3,243 | 36,814 |
| 4430 Legal & Professional | 1,175 | 1,104 | 1,132 | 1,169 | 1,109 | 1,097 | 1,179 | 1,047 | 1,175 | 1,106 | 1,117 | 1,065 | 13,476 |
| 4440 Accounting & Audit | 1,526 | 1,481 | 1,498 | 1,411 | 1,449 | 1,480 | 1,522 | 1,523 | 1,448 | 1,439 | 1,401 | 1,510 | 17,688 |
| 4450 Licenses & Permits | 1,890 | 1,966 | 1,784 | 1,789 | 1,868 | 1,733 | 1,872 | 1,751 | 1,966 | 1,896 | 1,811 | 1,796 | 22,120 |
| 4460 Management Fee | 5,528 | 5,210 | 5,500 | 5,054 | 5,371 | 5,239 | 5,023 | 5,343 | 4,978 | 5,655 | 5,207 | 5,232 | 63,341 |
| 4470 Property Insurance | 7,444 | 7,223 | 7,633 | 7,249 | 7,484 | 6,719 | 6,901 | 7,202 | 7,548 | 7,148 | 7,393 | 7,617 | 87,560 |
| 4480 Real Estate Taxes | 5,479 | 5,217 | 5,251 | 5,482 | 5,514 | 5,050 | 5,158 | 5,502 | 5,374 | 4,990 | 5,489 | 5,388 | 63,895 |
| 4490 Asset Management Fee | 7,072 | 7,035 | 7,127 | 7,767 | 6,931 | 7,888 | 7,171 | 7,681 | 6,957 | 7,599 | 7,783 | 7,447 | 88,458 |
| 4500 Replacement Reserves | 1,724 | 1,758 | 1,786 | 1,748 | 1,921 | 1,816 | 1,884 | 1,749 | 1,827 | 1,710 | 1,808 | 1,863 | 21,595 |
| 4510 Roof Repairs | 5,968 | 5,956 | 5,652 | 5,870 | 5,810 | 5,509 | 5,492 | 5,942 | 5,702 | 5,888 | 5,773 | 5,517 | 69,079 |
| 4520 Parking Lot Repairs | 3,469 | 3,638 | 3,853 | 3,604 | 3,937 | 3,473 | 3,599 | 3,804 | 3,839 | 3,611 | 3,519 | 3,691 | 44,037 |
| 4530 Signage | 7,401 | 7,944 | 7,180 | 7,580 | 7,959 | 7,964 | 7,879 | 7,877 | 7,744 | 8,122 | 7,842 | 7,719 | 93,211 |
| 4540 Tenant Improvements | 3,165 | 3,255 | 3,142 | 3,224 | 3,159 | 3,408 | 2,981 | 3,262 | 3,279 | 3,027 | 3,040 | 3,199 | 38,141 |
| 4550 Leasing Commissions | 4,866 | 5,093 | 4,602 | 5,040 | 4,549 | 4,695 | 4,531 | 4,688 | 4,745 | 4,882 | 4,761 | 4,519 | 56,971 |
| 4000 Gross Potential Rent | 63,188 | 64,038 | 65,941 | 66,162 | 68,443 | 67,927 | 65,231 | 69,973 | 65,079 | 63,357 | 70,581 | 69,930 | 799,851 |
| 4010 Loss to Lease | 859 | 859 | 888 | 928 | 888 | 953 | 977 | 892 | 877 | 973 | 948 | 947 | 10,990 |

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## Operating Performance

Effective gross income for the trailing period was $337,000, representing a 7.1% increase over the prior year. Operating expenses totaled $11,000 or approximately 19.97 per square foot, with real estate taxes representing the largest line item. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Debt service coverage ratio was 6.50x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period.

Physical occupancy is 92.1% and the average in-place rent is $167 per unit per month. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

## Management Commentary

Collections for the period were 92.9% of billed charges, with bad debt of 6.5% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Physical occupancy is 95.3% and the average in-place rent is $167 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Service requests are tracked through a work-order system with an average completion time of 32 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Collections for the period were 96.2% of billed charges, with bad debt of 3.9% of gross potential income.

## Valuation Discussion

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Operating expenses totaled $57,000 or approximately 9.31 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.94x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period.

Effective gross income for the trailing period was $105,000, representing a 3.9% increase over the prior year. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The going-in capitalization rate of 5.94% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Physical occupancy is 90.3% and the average in-place rent is $167 per unit per month.

## Management Commentary

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 12 hours.

Collections for the period were 89.9% of billed charges, with bad debt of 7.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Physical occupancy is 94.9% and the average in-place rent is $167 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Financial Analysis

Physical occupancy is 90.7% and the average in-place rent is $167 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Physical occupancy is 89.3% and the average in-place rent is $167 per unit per month. Effective gross income for the trailing period was $21,000, representing a 4.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.89% reflects the in-place income and the stabilized occupancy assumption.

## Leasing and Marketing

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4460 Management Fee | 5,581 | 5,923 | 5,774 | 5,587 | 5,589 | 5,988 | 6,000 | 5,730 | 5,346 | 6,041 | 5,349 | 5,827 | 68,736 |
| 4470 Property Insurance | 1,429 | 1,400 | 1,389 | 1,305 | 1,377 | 1,356 | 1,377 | 1,349 | 1,379 | 1,414 | 1,268 | 1,390 | 16,435 |
| 4480 Real Estate Taxes | 5,105 | 5,571 | 5,284 | 5,523 | 5,275 | 5,275 | 5,655 | 5,654 | 5,039 | 5,427 | 4,989 | 5,365 | 64,163 |
| 4490 Asset Management Fee | 7,445 | 7,781 | 7,457 | 7,180 | 7,228 | 7,798 | 7,918 | 7,170 | 7,241 | 7,390 | 7,024 | 7,060 | 88,692 |
| 4500 Replacement Reserves | 1,737 | 1,641 | 1,723 | 1,738 | 1,807 | 1,822 | 1,779 | 1,793 | 1,734 | 1,823 | 1,837 | 1,781 | 21,215 |
| 4510 Roof Repairs | 3,750 | 3,802 | 3,903 | 3,588 | 3,502 | 3,714 | 3,581 | 3,544 | 3,774 | 3,425 | 3,816 | 3,511 | 43,910 |
| 4520 Parking Lot Repairs | 7,483 | 7,353 | 7,291 | 7,779 | 6,900 | 7,394 | 7,181 | 7,268 | 7,100 | 6,840 | 6,840 | 7,183 | 86,614 |
| 4530 Signage | 5,156 | 5,778 | 5,333 | 5,706 | 5,123 | 5,204 | 5,771 | 5,537 | 5,880 | 5,161 | 5,340 | 5,526 | 65,516 |
| 4540 Tenant Improvements | 4,765 | 4,277 | 4,511 | 4,706 | 4,768 | 4,311 | 4,590 | 4,433 | 4,260 | 4,768 | 4,465 | 4,404 | 54,257 |
| 4550 Leasing Commissions | 7,238 | 7,671 | 7,498 | 7,919 | 8,044 | 7,352 | 7,115 | 7,851 | 7,715 | 7,413 | 7,697 | 7,825 | 91,339 |
| 4000 Gross Potential Rent | 63,655 | 65,032 | 67,527 | 70,878 | 68,823 | 63,067 | 68,531 | 67,518 | 66,768 | 70,342 | 69,865 | 67,973 | 809,978 |
| 4010 Loss to Lease | 20,431 | 17,945 | 19,373 | 18,414 | 20,058 | 18,959 | 19,733 | 18,107 | 18,985 | 19,535 | 20,036 | 20,042 | 231,619 |
| 4020 Vacancy Loss | 47,128 | 43,923 | 44,550 | 45,772 | 47,416 | 43,164 | 42,180 | 46,686 | 42,534 | 46,059 | 44,890 | 43,423 | 537,723 |
| 4030 Concessions | 51,487 | 52,419 | 54,766 | 49,935 | 49,487 | 51,105 | 50,185 | 54,486 | 48,819 | 55,105 | 54,581 | 49,189 | 621,565 |
| 4040 Bad Debt | 6,603 | 6,573 | 6,628 | 6,439 | 6,760 | 6,437 | 6,331 | 7,050 | 6,455 | 7,266 | 6,517 | 6,500 | 79,558 |
| 4050 Late Fees | 48,744 | 49,564 | 52,562 | 49,067 | 50,861 | 50,988 | 50,209 | 49,912 | 52,877 | 50,477 | 50,064 | 51,419 | 606,742 |
| 4060 Utility Reimbursements | 17,812 | 17,106 | 19,188 | 18,257 | 17,339 | 18,618 | 18,976 | 17,514 | 16,944 | 17,833 | 17,854 | 16,892 | 214,332 |
| 4070 Parking Income | 8,364 | 8,441 | 8,609 | 8,645 | 8,647 | 9,148 | 8,897 | 8,443 | 8,624 | 8,671 | 8,611 | 8,719 | 103,819 |
| 4080 Application Fees | 52,229 | 52,283 | 54,322 | 55,452 | 53,258 | 51,732 | 50,166 | 49,399 | 53,565 | 54,912 | 54,827 | 56,231 | 638,376 |
| 4090 Pet Rent | 14,732 | 14,718 | 14,202 | 14,233 | 13,934 | 14,467 | 14,334 | 13,891 | 14,308 | 15,515 | 15,454 | 14,510 | 174,297 |
| 4100 Laundry Income | 57,743 | 53,696 | 52,624 | 55,399 | 59,667 | 53,516 | 52,614 | 56,566 | 53,452 | 59,408 | 54,026 | 53,519 | 662,230 |
| 4110 Cable/Internet Revenue | 1,429 | 1,380 | 1,296 | 1,351 | 1,421 | 1,361 | 1,396 | 1,423 | 1,437 | 1,401 | 1,350 | 1,451 | 16,698 |
| 4120 CAM Reimbursements | 10,692 | 10,849 | 11,895 | 11,358 | 11,992 | 10,715 | 11,041 | 10,974 | 11,871 | 11,040 | 11,171 | 11,148 | 134,747 |
| 4130 Tax Reimbursements | 37,702 | 36,454 | 39,435 | 40,129 | 39,343 | 38,292 | 40,260 | 36,915 | 40,832 | 37,041 | 39,035 | 39,823 | 465,261 |
| 4140 Insurance Reimbursements | 6,466 | 7,003 | 6,623 | 6,295 | 6,546 | 6,659 | 6,857 | 7,036 | 6,974 | 7,040 | 6,736 | 6,482 | 80,716 |
| 4150 Percentage Rent | 34,889 | 34,331 | 33,862 | 34,112 | 36,334 | 35,760 | 33,364 | 36,047 | 33,935 | 33,262 | 34,828 | 34,790 | 415,513 |
| 4160 Misc. Income | 24,702 | 23,705 | 22,266 | 22,067 | 22,182 | 23,128 | 22,639 | 24,791 | 23,077 | 23,682 | 22,222 | 22,433 | 276,894 |
| 4170 Payroll - Management | 4,131 | 4,339 | 4,232 | 4,190 | 4,121 | 4,137 | 4,589 | 4,583 | 4,641 | 4,218 | 4,471 | 4,502 | 52,155 |
| 4180 Payroll - Leasing | 2,108 | 2,199 | 2,088 | 2,117 | 2,239 | 2,091 | 2,145 | 2,127 | 2,129 | 2,167 | 2,138 | 2,245 | 25,794 |
| 4190 Payroll - Maintenance | 5,667 | 5,810 | 5,829 | 5,740 | 5,728 | 5,659 | 5,601 | 5,333 | 5,689 | 6,006 | 5,575 | 5,510 | 68,145 |
| 4200 Payroll Taxes & Benefits | 6,404 | 6,446 | 6,434 | 6,038 | 6,019 | 6,712 | 5,967 | 6,745 | 6,626 | 6,099 | 6,785 | 6,269 | 76,545 |
| 4210 Repairs - Plumbing | 1,192 | 1,241 | 1,220 | 1,108 | 1,237 | 1,156 | 1,233 | 1,098 | 1,227 | 1,212 | 1,182 | 1,101 | 14,209 |
| 4220 Repairs - HVAC | 2,750 | 2,855 | 2,880 | 2,920 | 2,984 | 2,827 | 2,963 | 3,063 | 2,851 | 2,923 | 2,834 | 2,845 | 34,694 |
| 4230 Repairs - Electrical | 3,468 | 3,904 | 3,600 | 3,751 | 3,701 | 3,629 | 3,808 | 3,979 | 3,921 | 3,506 | 3,666 | 3,564 | 44,498 |
| 4240 Repairs - Appliances | 5,893 | 6,306 | 5,993 | 5,948 | 5,697 | 6,153 | 5,508 | 5,823 | 6,293 | 5,917 | 5,723 | 5,822 | 71,076 |
| 4250 Painting & Decorating | 5,768 | 5,296 | 5,606 | 5,780 | 5,953 | 5,667 | 5,885 | 5,827 | 5,759 | 5,527 | 5,889 | 5,843 | 68,801 |
| 4260 Flooring | 953 | 903 | 925 | 897 | 962 | 990 | 967 | 928 | 968 | 938 | 896 | 904 | 11,232 |
| 4270 Make-Ready / Turnover | 5,665 | 5,086 | 4,987 | 5,559 | 5,291 | 5,617 | 5,203 | 5,250 | 5,065 | 5,329 | 5,266 | 5,075 | 63,394 |
| 4280 Landscaping Contract | 7,470 | 8,223 | 7,572 | 8,129 | 7,515 | 8,112 | 7,483 | 7,772 | 7,456 | 7,874 | 7,885 | 7,755 | 93,247 |
| 4290 Snow Removal | 7,564 | 7,501 | 7,296 | 7,266 | 7,186 | 7,189 | 7,542 | 7,170 | 7,764 | 7,303 | 7,243 | 7,962 | 88,986 |
| 4300 Janitorial | 4,340 | 4,345 | 4,307 | 4,479 | 3,964 | 4,062 | 4,379 | 4,467 | 4,487 | 4,500 | 4,105 | 3,957 | 51,391 |
| 4310 Pest Control | 2,506 | 2,491 | 2,513 | 2,659 | 2,554 | 2,664 | 2,520 | 2,365 | 2,606 | 2,481 | 2,411 | 2,438 | 30,207 |
| 4320 Trash Removal | 7,010 | 6,869 | 6,462 | 6,659 | 6,839 | 6,504 | 7,114 | 7,040 | 7,225 | 6,395 | 6,967 | 6,654 | 81,738 |
| 4330 Elevator Contract | 4,279 | 4,279 | 4,740 | 4,253 | 4,403 | 4,582 | 4,716 | 4,226 | 4,218 | 4,783 | 4,722 | 4,738 | 53,938 |
| 4340 Fire & Life Safety | 3,743 | 3,719 | 3,923 | 3,573 | 3,612 | 3,444 | 3,463 | 3,856 | 3,603 | 3,761 | 3,559 | 3,872 | 44,128 |

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## Operating Performance

Operating expenses totaled $209,000 or approximately 42.08 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Effective gross income for the trailing period was $339,000, representing a 12.9% increase over the prior year.

Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Operating expenses totaled $348,000 or approximately 42.37 per square foot, with real estate taxes representing the largest line item.

## Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 12 hours. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Collections for the period were 96.6% of billed charges, with bad debt of 5.4% of gross potential income. Physical occupancy is 93.6% and the average in-place rent is $167 per unit per month.

Physical occupancy is 91.2% and the average in-place rent is $167 per unit per month. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Collections for the period were 96.7% of billed charges, with bad debt of 7.5% of gross potential income. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Debt service coverage ratio was 6.61x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.38% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Effective gross income for the trailing period was $257,000, representing a 3.4% increase over the prior year. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

## Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Physical occupancy is 89.6% and the average in-place rent is $167 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 36 hours. Collections for the period were 88.2% of billed charges, with bad debt of 3.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day.

## Financial Analysis

Effective gross income for the trailing period was $313,000, representing a 8.0% increase over the prior year. Debt service coverage ratio was 7.96x on a trailing basis against a covenant minimum of 1.20x. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Physical occupancy is 90.1% and the average in-place rent is $167 per unit per month.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 89.1% and the average in-place rent is $167 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Property Operations

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4280 Landscaping Contract | 7,121 | 7,848 | 7,010 | 7,301 | 7,076 | 7,681 | 7,780 | 7,670 | 7,281 | 7,288 | 7,007 | 7,593 | 88,655 |
| 4290 Snow Removal | 1,903 | 1,819 | 1,782 | 1,870 | 1,843 | 1,967 | 1,835 | 1,721 | 1,896 | 1,805 | 1,866 | 1,831 | 22,136 |
| 4300 Janitorial | 5,030 | 4,609 | 4,630 | 4,622 | 4,488 | 4,842 | 4,620 | 5,064 | 4,572 | 4,478 | 5,070 | 4,658 | 56,683 |
| 4310 Pest Control | 7,100 | 7,208 | 7,768 | 7,201 | 7,528 | 7,453 | 7,709 | 7,112 | 6,964 | 7,558 | 7,735 | 7,303 | 88,640 |
| 4320 Trash Removal | 1,653 | 1,697 | 1,758 | 1,678 | 1,692 | 1,633 | 1,719 | 1,799 | 1,609 | 1,733 | 1,610 | 1,678 | 20,260 |
| 4330 Elevator Contract | 4,011 | 4,096 | 4,071 | 4,048 | 3,716 | 3,881 | 3,823 | 3,732 | 3,757 | 3,895 | 4,252 | 3,828 | 47,110 |
| 4340 Fire & Life Safety | 6,979 | 7,060 | 7,263 | 7,675 | 7,148 | 7,201 | 7,115 | 7,812 | 7,050 | 7,345 | 7,676 | 7,287 | 87,611 |
| 4350 Security | 5,451 | 6,081 | 5,471 | 5,732 | 6,095 | 5,798 | 5,895 | 5,659 | 5,906 | 5,826 | 5,570 | 5,861 | 69,345 |
| 4360 Electricity - Common | 4,514 | 4,218 | 4,628 | 4,269 | 4,370 | 4,252 | 4,435 | 4,195 | 4,119 | 4,186 | 4,243 | 4,336 | 51,764 |
| 4370 Gas - Common | 7,630 | 8,048 | 7,562 | 7,944 | 8,051 | 7,472 | 7,140 | 7,198 | 7,193 | 7,630 | 7,778 | 8,066 | 91,712 |
| 4380 Water & Sewer | 5,761 | 5,346 | 5,628 | 5,103 | 5,180 | 5,088 | 5,061 | 5,740 | 5,503 | 5,438 | 5,681 | 5,131 | 64,661 |
| 4390 Telephone/Internet | 7,413 | 7,298 | 6,630 | 6,597 | 7,169 | 6,896 | 7,113 | 7,044 | 6,600 | 6,833 | 7,317 | 7,026 | 83,935 |
| 4400 Advertising | 3,384 | 3,345 | 3,005 | 3,324 | 3,120 | 3,279 | 3,225 | 3,031 | 3,096 | 3,367 | 3,385 | 3,291 | 38,852 |
| 4410 Resident Events | 1,629 | 1,748 | 1,613 | 1,710 | 1,716 | 1,764 | 1,609 | 1,693 | 1,727 | 1,709 | 1,785 | 1,736 | 20,438 |
| 4420 Office Supplies | 3,634 | 4,041 | 3,563 | 3,928 | 3,807 | 4,031 | 3,765 | 3,772 | 3,873 | 4,059 | 3,876 | 3,696 | 46,043 |
| 4430 Legal & Professional | 6,440 | 6,960 | 7,096 | 6,975 | 6,605 | 7,015 | 6,581 | 7,025 | 6,783 | 6,735 | 6,901 | 6,795 | 81,911 |
| 4440 Accounting & Audit | 2,109 | 2,164 | 2,278 | 2,266 | 2,303 | 2,189 | 2,090 | 2,211 | 2,026 | 2,015 | 2,091 | 2,189 | 25,933 |
| 4450 Licenses & Permits | 1,677 | 1,471 | 1,597 | 1,519 | 1,575 | 1,681 | 1,665 | 1,606 | 1,554 | 1,533 | 1,671 | 1,682 | 19,231 |
| 4460 Management Fee | 3,361 | 3,430 | 3,106 | 3,195 | 3,258 | 3,232 | 3,410 | 3,103 | 3,358 | 3,512 | 3,410 | 3,113 | 39,488 |
| 4470 Property Insurance | 3,151 | 2,922 | 3,153 | 2,903 | 3,088 | 2,894 | 2,903 | 2,972 | 3,237 | 2,967 | 2,918 | 3,115 | 36,224 |
| 4480 Real Estate Taxes | 5,586 | 5,441 | 6,128 | 5,698 | 5,528 | 5,693 | 6,120 | 5,689 | 5,829 | 6,143 | 5,856 | 5,983 | 69,695 |
| 4490 Asset Management Fee | 6,538 | 6,375 | 6,704 | 6,445 | 6,472 | 6,098 | 6,674 | 6,629 | 6,179 | 6,701 | 6,774 | 6,513 | 78,103 |
| 4500 Replacement Reserves | 3,312 | 3,582 | 3,662 | 3,344 | 3,274 | 3,352 | 3,393 | 3,318 | 3,504 | 3,563 | 3,466 | 3,663 | 41,432 |
| 4510 Roof Repairs | 4,024 | 3,570 | 3,603 | 3,995 | 3,887 | 4,045 | 4,015 | 3,592 | 3,647 | 3,901 | 3,948 | 4,035 | 46,261 |
| 4520 Parking Lot Repairs | 6,633 | 6,654 | 6,381 | 6,558 | 6,848 | 6,757 | 6,825 | 6,365 | 6,623 | 6,586 | 6,421 | 6,645 | 79,295 |
| 4530 Signage | 4,514 | 4,536 | 4,456 | 4,849 | 4,429 | 4,633 | 4,846 | 4,638 | 4,597 | 4,709 | 4,541 | 4,850 | 55,598 |
| 4540 Tenant Improvements | 1,165 | 1,092 | 1,181 | 1,166 | 1,139 | 1,219 | 1,215 | 1,165 | 1,174 | 1,184 | 1,165 | 1,239 | 14,103 |
| 4550 Leasing Commissions | 7,570 | 7,902 | 8,022 | 7,125 | 7,234 | 8,105 | 7,132 | 7,530 | 7,573 | 8,142 | 7,641 | 7,355 | 91,332 |
| 4000 Gross Potential Rent | 68,836 | 64,272 | 70,015 | 70,521 | 61,805 | 67,483 | 69,377 | 67,108 | 63,304 | 64,731 | 69,999 | 63,580 | 801,031 |
| 4010 Loss to Lease | 30,488 | 27,997 | 28,681 | 27,676 | 31,114 | 28,295 | 28,879 | 29,812 | 28,437 | 28,475 | 30,335 | 27,972 | 348,161 |
| 4020 Vacancy Loss | 56,371 | 54,494 | 53,583 | 59,124 | 54,367 | 56,408 | 55,866 | 57,984 | 55,878 | 57,720 | 53,635 | 57,095 | 672,525 |
| 4030 Concessions | 32,880 | 34,260 | 35,642 | 35,470 | 33,642 | 36,453 | 34,079 | 34,215 | 36,104 | 32,000 | 35,314 | 34,563 | 414,622 |
| 4040 Bad Debt | 55,786 | 61,965 | 59,171 | 61,411 | 56,222 | 57,958 | 61,067 | 57,187 | 59,490 | 54,349 | 57,783 | 54,680 | 697,068 |
| 4050 Late Fees | 34,296 | 32,691 | 34,088 | 32,524 | 31,298 | 32,584 | 33,826 | 34,799 | 30,905 | 34,763 | 32,732 | 35,162 | 399,668 |
| 4060 Utility Reimbursements | 24,484 | 23,505 | 23,758 | 26,237 | 24,468 | 23,772 | 23,950 | 23,665 | 23,793 | 25,271 | 24,028 | 23,928 | 290,859 |
| 4070 Parking Income | 27,102 | 29,847 | 28,116 | 28,740 | 29,248 | 30,899 | 29,416 | 30,750 | 29,441 | 29,675 | 29,702 | 30,634 | 353,569 |
| 4080 Application Fees | 57,363 | 55,868 | 56,588 | 57,143 | 61,672 | 56,750 | 57,322 | 56,725 | 57,509 | 59,187 | 55,884 | 61,970 | 693,981 |
| 4090 Pet Rent | 12,270 | 12,893 | 12,002 | 12,238 | 12,852 | 12,306 | 11,506 | 11,471 | 12,940 | 11,721 | 11,685 | 11,691 | 145,577 |
| 4100 Laundry Income | 41,862 | 43,831 | 42,062 | 41,463 | 43,296 | 39,073 | 38,988 | 43,855 | 42,553 | 40,775 | 43,150 | 41,162 | 502,072 |
| 4110 Cable/Internet Revenue | 30,505 | 29,372 | 29,112 | 30,675 | 32,092 | 28,864 | 29,614 | 29,560 | 28,681 | 31,813 | 30,553 | 31,264 | 362,105 |
| 4120 CAM Reimbursements | 54,955 | 50,779 | 54,353 | 54,633 | 50,324 | 52,785 | 54,234 | 51,147 | 47,986 | 51,346 | 54,843 | 54,362 | 631,749 |
| 4130 Tax Reimbursements | 51,622 | 56,982 | 57,262 | 57,950 | 58,328 | 53,061 | 57,423 | 52,375 | 51,178 | 53,602 | 55,371 | 58,577 | 663,731 |
| 4140 Insurance Reimbursements | 50,575 | 53,573 | 48,078 | 50,775 | 53,363 | 50,697 | 47,890 | 48,242 | 49,000 | 47,751 | 54,219 | 52,252 | 606,415 |
| 4150 Percentage Rent | 35,927 | 36,729 | 40,251 | 38,265 | 39,063 | 38,662 | 37,079 | 39,839 | 38,489 | 36,485 | 36,487 | 39,370 | 456,647 |

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# Summary and Notes

## Operating Performance

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Debt service coverage ratio was 7.78x on a trailing basis against a covenant minimum of 1.20x.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Debt service coverage ratio was 5.66x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $339,000 or approximately 45.04 per square foot, with real estate taxes representing the largest line item. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses.

## Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Physical occupancy is 95.1% and the average in-place rent is $167 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

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